Considering India’s track record of the previous fifteen years, this was an achievable target. Even if there was foreign exchange depreciation—about 2 per cent per annum—the country would have romped home by achieving a 13 per cent nominal rate of growth, again quite a feasible target if we were to grow at 8 per cent real and had 5 per cent annual inflation.

Unfortunately, the economy started slacking from 2019–20, the year this formal announcement was made.

India’s nominal growth in 2019–20 was only 7.2 per cent. To make matters worse, the exchange rate slumped to Rs 75.3 to a dollar on 31 March 2020, depreciating by 8.33 per cent. India’s nominal GDP of Rs 203 lakh crore for financial year 2019–20 was thus equal to only $2.70 trillion. In fact, the dollar GDP of India at the end of the first year (2019–20) of the announcement of the $5 trillion target was lower than the GDP of $2.73 trillion of the base year (2018–19).

The second year of the reckoning, 2020–21, proved disastrous. On account of COVID-19 and the stringent lockdown, the nominal GDP fell by about 3 per cent during the year to print only Rs 197 lakh crore. The rupee, however, appreciated a little and ended at Rs 73.2 to a dollar. A GDP of Rs 197 lakh crore at Rs 73.2 a dollar amounted to a dollar GDP of $2.69 trillion.

India’s growth story could not have been more tragic in the two years since the announcement of the goal of a $5 trillion economy by 2024–25. The dollar GDP at the end of financial year 2020–21 signified that India had been virtually stagnant with a GDP of around $2.7 trillion for the past two years. There was no forward movement.

India Will Probably Reach $5 Trillion GDP by 2026–27

The goal of a $5 trillion economy by 2024–25—four years including the financial year 2021–22—will require the Indian economy to grow at 17 per cent per annum in nominal terms with the exchange rate remaining